Facing a Chapter 7 Bankruptcy with Prudence and Honor

Although the consequences of a Chapter 7 bankruptcy are very severe, a bankruptcy may indeed occur when a get-rich-quick scheme fails.

Bud and Sandi experienced the total dissolution of their assets through a creditor-initiated bankruptcy action. In Bud's case, he filed bankruptcy rather than allow the few demanding creditors to sell off his remaining assets to their benefit and to the detriment of all the others.

A bankruptcy action usually will provide only a fraction of the total debt owed to creditors, but creditors are required to accept the liquidation proceeds as total settlement of their debt. Again, in Bud's case, he and Sandi committed themselves to repaying everyone who agreed not to join the bankruptcy action. They felt that those creditors who elected to take the bankruptcy proceeds did so voluntarily and thus settled the debt.

To be as fair as possible to the creditors who joined the bankruptcy, Bud and Sandi retained no salable assets.

Unlike many others who file bankruptcy for their convenience, Bud placed all assets held in Sandi's name into the asset pool as well. They withheld nothing from the creditors.

Bankruptcy is never an action to be taken lightly. The financial consequences and the damage to a reputation are long-lasting for anyone, but especially for a Christian. A creditor has a right to expect to recover the money loaned in good faith, and the Bible is clear in its admonition to honor one's vows (promises). I believe that Bud and Sandi fulfilled this scriptural principle by going to each of the creditors and explaining why they decided to file for bankruptcy. They believed that the disgruntled investors would force them to sell off all their assets and that the unsecured creditors had a right to a share, if they so elected.

However, when Bud and Sandi approached the creditors, they also explained their total financial situation and indicated that the